

ESG investing is a common term used in the world of investing — if you ever see a fund with ‘ESG’ in its name you’ll know they’re trying to market themselves as an ethical option.

Its premise is based on investing in companies that have a positive impact on the world.

In recent times, more focus has been on companies that are environmentally conscious or help to fight climate change, either by reducing emissions or creating clean energy.

Impact investing

Impact investing is all about investing in companies or organisations that benefit society. For example, this is what the Bill & Melinda Gates Foundation does: they have invested over \$60 billion in grants to companies like the Africa Health Fund, which improves the quality of healthcare in Africa, or Pfizer to create affordable contraception for the developing world.

How do you get into impact investing if you don’t have a spare \$60 billion?

You can be intentional with the change that you want to see and invest in companies that are executing this. Investors in training can be impact investors in their own right.

For example, you may be interested in supporting female-led companies, so look into ETFs such as SPDR® SSGA Gender Diversity Index ETF, which goes by the ticker ‘SHE’. It’s an ETF that provides exposure to (i.e. lets you in on) US companies that demonstrate greater gender diversity within senior leadership than other firms in their sector.

One thing to remember, however, is that when you invest in a company, your money doesn’t go to them directly. But by investing in their shares, you can increase their stock price, which in turn shows them off as a stronger company and enables them to keep doing good work.